

Investor Fee Disclosure

Deribit Options Program | Version 1.1 | 2026-05-30

This document describes management and performance fees, multi-currency (BTC / ETH / USDC) valuation and collection, and how covered-call collateral spot is treated differently for each fee. Binding terms are governed by the signed investment management agreement.

1. Fee overview

Item	Rate / rule	Notes
Management fee	1.0% p.a. (quarterly)	On quarterly average AUM_mgmt
Performance fee	10%	Only on new profits above the high water mark (HWM)
Billing unit	Per investor (consolidated)	All authorized sub-accounts merged
High water mark	Required	Tied to NAV_perf only; no performance fee until new high

2. Two bases: performance NAV vs. management AUM

Covered calls require investor BTC/ETH spot as collateral and margin. Spot affects strategy alpha and custody scale differently, so we use two bases:

Basis	Includes investor collateral spot?	Used for
Performance NAV (NAV_perf)	No	Period P&L, HWM, performance fee
Management AUM (AUM_mgmt)	Yes (authorized collateral spot in sub-accounts)	Management fee average AUM

2.1 Performance NAV (NAV_perf) — excludes collateral spot

- Definition: Sum of USDC-equivalent equity across authorized sub-accounts, **minus** agreed investor collateral spot (valued at Deribit index on settlement date).
- Includes: Options, margin, stablecoins, strategy realized/unrealized P&L (USDC equivalent).
- Excludes: Investor-owned BTC/ETH held only for covered-call collateral and its price moves.
- Purpose: Performance fee rewards options strategy results, not spot beta.

2.2 Management AUM (AUM_mgmt) — includes collateral spot

- Definition: NAV_perf **plus** agreed collateral spot in sub-accounts (USDC equivalent).
- Rationale: Collateral uses margin and operational resources; the manager oversees overall risk.
- Formula: Quarterly management fee = average AUM_mgmt × 1.0% × (days in quarter / 365).

3. Multi-currency valuation (BTC / ETH / USDC)

Deribit accounts are segregated by collateral currency (BTC, ETH, USDC books). All billing uses official data at the **settlement snapshot**, converted to USDC equivalent.

Asset	Valuation
USDC and linear legs	USDC balance
BTC book equity	BTC equity × BTC index (USD) on settlement date
ETH book equity	ETH equity × ETH index (USD) on settlement date
Investor collateral spot	Quantity × same index (same basis as NAV_perf deduction)

3.1 Consolidated formulas (conceptual)

$NAV_perf = \Sigma \text{ sub-account USDC-equivalent equity} - \text{investor collateral spot (USDC equivalent)}$

$AUM_mgmt = NAV_perf + \text{investor collateral spot (USDC equivalent)}$

$\text{Period P\&L (performance)} = NAV_perf,end - NAV_perf,start - \text{net subscription adjustment}$

Net subscription adjustment: deposits increase the baseline, withdrawals decrease it; confirmed per Deribit transaction log and mutual acknowledgment.

4. Performance fee (10%) and high water mark

$\text{Distributable profit} = \max(0, NAV_perf,end - HWM - \text{net subscription adjustment for the quarter})$

$\text{Quarterly performance fee} = \text{distributable profit} \times 10\%$

$HWM \text{ after settlement} = NAV_perf,end - \text{quarterly performance fee (post-fee HWM; management fee separate)}$

HWM tracks **NAV_perf only, not** collateral spot. A drop in BTC/ETH spot does not directly lower HWM; options profits can still trigger a performance fee when NAV_perf makes a new high. Subscriptions and partial redemptions follow the IMA or side letter.

5. Collection: quarter-end conversion + external payment

Fees are **not** deducted from strategy sub-accounts. After quarter-end the manager **trades** spot profits to USDC/USDT/USDE in the **strategy** sub-account (stablecoins remain for reconciliation); after confirmation the investor pays to the manager's **external on-chain addresses**. The manager does not use the main-account API or Deribit internal transfers between subs.

5.1 Investor obligations

1. Strategy sub-account API: Account=read, Trade=read_write, Wallet=none;
2. After invoice, reconcile with the manager and confirm;
3. Pay to the manager's USDC/USDT/USDE external addresses (main-account withdraw or external wallet);
4. Network must match manager instructions (often Ethereum ERC-20);
5. Do not deliver main-account API keys to the manager;
6. Late reconciliation or payment may trigger a pause on new entries per the IMA.

5.2 Relation to NAV_perf

NAV_perf and HWM consolidate **strategy** sub-accounts only. Post-conversion stablecoins stay in the strategy sub for reconciliation; actual collection is the investor's on-chain transfer.

5.3 Management and performance fees

Management fee on AUM_mgmt (including collateral spot); performance fee at 10% of distributable profit.
Invoices are USDC-equivalent; payment currency per invoice and fee-payout-addresses list.

6. Settlement cycle and investor reports

Item	Suggested terms
Regular settlement	Quarter-end (last day of Mar / Jun / Sep / Dec, UTC)
Valuation time	Settlement day 23:59 UTC snapshot
Invoice issued	Within 10 business days after quarter-end
Payment due	Within 5 business days after reconciliation, pay to manager's external addresses
Redemption	Accrued fees settled on effective redemption date

Each quarterly report should include at least:

- NAV_perf and AUM_mgmt at quarter start and end;
- Collateral spot quantity and USDC-equivalent value (reconciled to NAV_perf deduction);
- Net subscriptions, distributable profit, HWM changes, management and performance fee detail;
- Per-book equity and settlement index prices;
- Actual collection currency and conversion notes (if any).

7. Worked example (simplified)

Item	Amount (USDC equivalent)
HWM at quarter start (NAV_perf)	100,000
NAV_perf at quarter end	106,000
Collateral spot at quarter end (management only)	40,000
AUM_mgmt at quarter end	146,000
Net deposit in quarter	2,000
Distributable profit	$106,000 - 100,000 - 2,000 = 4,000$
Performance fee (10%)	400
Management fee (avg AUM_mgmt $\approx$ 140,000, 1.0% p.a.)	≈ 350

Illustrative only; actual amounts use settlement-day official balances and agreed rates.

Appendix: FAQ — Does HWM include BTC/ETH spot?

- **No.** If HWM were tied to total equity including spot, a spot drawdown could block performance fees even when options are profitable.
- Under this program, HWM tracks NAV_perf only (collateral spot deducted). Spot declines do not directly lower HWM.
- Management fee has no HWM; it uses AUM_mgmt (including spot). Lower spot reduces management fee base (custody scale), not performance HWM.
- The agreement should fix collateral spot quantities and reconcile quarterly so NAV_perf stays consistent.

8. Risks and disclaimers

- Short-volatility option strategies carry risk of loss; this document is not a guarantee of return.
- HWM prevents double-charging performance fees; it does not guarantee NAV_perf exceeds prior highs.

- Multi-currency conversion and collection may be affected by index prices, liquidity, and exchange rules.
- Collateral spot price risk remains with the investor; performance fee excludes spot moves; management fee includes collateral scale.
- Past performance is not indicative of future results; seek tax and regulatory advice independently.
- Deribit official statements prevail in disputes; if this document conflicts with a signed agreement, the agreement controls.

Manager: _____ Contact: _____

Investor acknowledgment: _____ Date: _____

Fee logic described here aligns with the Deribit options strategy engine's book segregation and USDC-equivalent reporting. This document is not an official Deribit statement.